

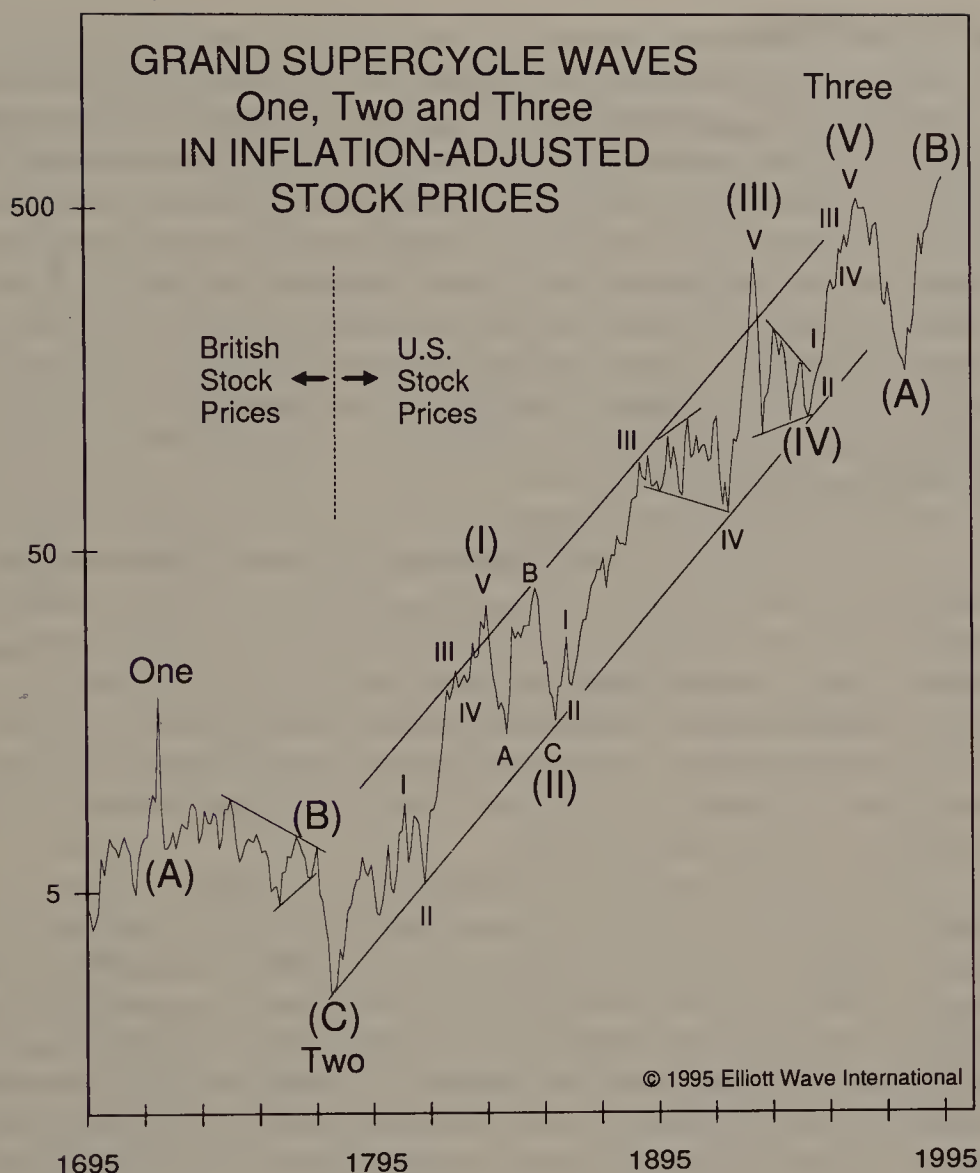


Figure 3-3

At this juncture, wave B has reached its ideal level of a bit beyond the top of wave (V), so wave C is imminent. The inflation-adjusted S&P 500 (not shown) is likewise nearing the end of its "B" wave, having just edged out its 1968 high. Chapters 5 and 19 will discuss downside targets for wave C and describe how the outlook for the inflation-adjusted Dow fits that for the actual Dow.